

C. THE PROBLEM OF COMMON-STOCK INVESTMENT

Common-stock speculation, as the term has always been generally understood, is not so difficult to understand as it is to practice successfully. The speculator admittedly risks his money upon his guess or judgment as to the general market or the action of a particular stock or possibly on some future development in the company's affairs. No doubt the speculator's problems have changed somewhat with the years, but we incline to the view that the qualities and training necessary for success, as well as the mathematical odds against him, are not vitally different now from what they were before. But stock speculation, as such, does not come within the scope of this volume.

Current Practice. We are concerned, however, with common-stock *investment*, which we shall define provisionally as purchases based upon analysis of value and controlled by definite standards of safety of principal. If we look to current practice to discern what these standards are, we find little beyond the rather indefinite concept that "a good stock is a good investment." "Good" stocks are those of either (1) leading companies with satisfactory records, a combination relied on to produce favorable results in the future; or (2) any well-financed enterprise believed to have especially attractive prospects of increased future earnings. (As of early 1940, we may cite Coca-Cola as an example of (1), Abbott Laboratories as an example of (2), and General Electric as an example of both.)

But although the stock market has very definite and apparently logical ideas as to the *quality* of the common stocks that it buys for investment, its *quantitative* standards—governing the relation of price to determinable value—are so indefinite as to be almost nonexistent. Balance-sheet values are considered to be entirely out of the picture. Average earnings have little significance when there is a marked trend. The so-called "price-earnings ratio" is applied variously, sometimes to the past, sometimes to the present, and sometimes to the near future. But the ratio itself can scarcely be called a standard, since it is controlled by investment practice instead of controlling it. In other words the "right" price-earnings ratio for any stock is what the market says it is.